

Organization and Management Exam Notes

ME 708 · IV-I (BEL, BEX, BCT, BEI) · TU, IOE · tiers over 29 papers, 2065–2082 BS

1. Introduction

20 hrs · asked in **28 of 29 papers** · 6 syllabus units, 28 sub-topics · **932 marks, 39.6% of the archive** → the biggest chapter by far: about 21 of every 80 marks.

READ THIS FIRST

Chapter 1 is pure theory, and almost every question is **an 8-mark question split 4+4, 3+5 or 2+6**: two lists glued together. Learn the lists below as lists.

1. **Six lists carry the chapter**, each asked in 9 to 16 papers: importance of organization, principles of organization, formal vs informal organization, functions of management, levels + skills of management, and the three classical theories (Taylor, Fayol, Mayo).
2. **Forms of ownership and structures** are compare-and-choose questions: “JSC vs partnership”, “line & staff vs line”, “which structure for an engineering project”. The comparison tables in §1.4 and §1.5 answer them directly.
3. **Purchasing and marketing**: two questions set every year in some form (functions of purchasing; importance of marketing).

Tier chips count **papers out of 29** (2065–2082 BS): **TOP n/29** asked in 8+ papers **HOT n/29** 4–7 papers **PIN n/29** 1–3 papers inside an 8-mark question **LOW n/29** 1–3 papers, short note only. Bold year = Regular exam.

1.1 Organization

Define organization. Why is it necessary? Explain its importance and role in society **1 2 3 4 5 8**

TOP 16/29 82 Bh, 80 Bh, 78 Bh, 76 Ch, 76 Ash, 75 Ch, 75 Ash, 74 Ash, 73 Ch, 73 Shr, 72 Ch, 72 Ka, 71 Ch, 70 Ch, 69 Ch, 65 Shr · the opener to half the chapter's questions

Definition

- **Mooney and Reiley**: “Organization is the form of every human association for the attainment of a common purpose.”
- Working definition: a **collection of people working together in a coordinated and structured way to achieve one or more goals**.
- As a **process**: identifying + grouping work → defining + delegating responsibility and authority → establishing relationships so people work effectively together.
- Three views of the same thing (AJ Sir): **goal-oriented system** (people work for specific goals), **social system** (people work in groups), **technological system** (people apply knowledge and techniques).

Necessity (why we need organization)

- **Complexity of industry:** large plants, complex methods need structure.
- **Growing competition:** required quantity + quality, at required time, at minimum cost.
- **Optimum use of resources:** men, machines, materials, money.
- **Fixes authority and responsibility** → no confusion, no conflict.
- **Coordination** of efforts of many people toward one goal.
- **Reduces labour problems; facilitates administration.**
- **Stimulates creativity** and specialization.
- People achieve together what no individual can alone; diverse skills, more resources.

Andrew Carnegie: take away the money and the works but leave the organization, and he would rebuild within a few years. Success depends on organization.

Role of organization in an employee's professional growth 4

PIN 2/29 81 Bh, 75 Ch · always paired with "do we need informal organization?" (below)

- **Training and development:** on-the-job training, workshops, higher study.
- **Career path:** promotion through levels, job rotation, wider responsibility.
- **Performance appraisal / merit rating** → feedback, recognition.
- **Mentoring:** seniors and supervisors transfer knowledge (knowledge-oriented model).
- **Exposure:** teamwork, projects, clients, new technology build skills.
- **Security + remuneration:** stable income lets an employee invest in learning.

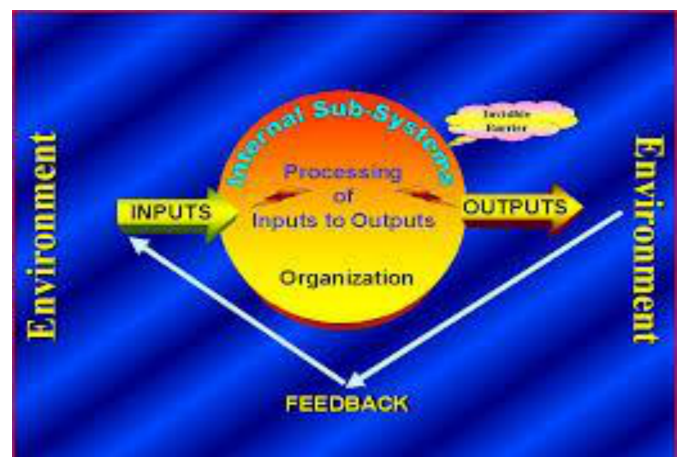
Organization as a system: open system, social system, system approach applied to organization 2 4

PIN 3/29 81 Bh, 79 Ba, 70 Ch

- **System** = set of interdependent parts working together toward a goal.
- Organization as a system:
 - **Inputs:** 5 M's, men, materials, machines, money, methods (+ information).
 - **Transformation process:** sub-systems (production, finance, marketing, personnel) convert inputs.
 - **Outputs:** products, services, profit, employee satisfaction.
 - **Feedback:** customer response, results vs plan → corrections.
 - **Environment:** external (social, political, economic, cultural, technology) and internal (board, employees, culture).
- **Open system:** continuously exchanges inputs and outputs with its environment and must adapt to changes in technology, market, customer needs, rules. A closed system ignores the environment and decays.
- **Social system:** people interact in groups; their attitudes, perceptions, norms shape how it works (Mayo, Barnard).
- **System approach applied:** every change (new technology, process) ripples to people, jobs, skills → plan for change, assess change forces, implement (Kaila). Also called a change-management plan.

Importance / role in society

- **Produces goods and services** society needs (food, power, transport).
- **Employment** and income → livelihood for millions.
- **Development:** hospitals, schools, universities, banks, telecom, roads.
- **Raises living standard:** better products at lower cost.
- **Innovation and technology:** research, new products.
- **Revenue to government** (taxes) → public services.
- **Social welfare:** CSR, cooperatives, NGOs serve the weak.
- **Civilization itself** is organized effort: without organization there is only self-sufficiency, no division of labour, no trade.
- **Can we sustain without organization?** No: every need beyond bare survival (education, health, security) is delivered by some organization.



Organization as an open system: inputs, processing sub-systems, outputs, feedback, environment. Adhikari notes, p18.

Principles of organization 4 5 6 8

TOP 9/29 82 Bh, 80 Bh, 76 Ash, 74 Ch, 72 Ch, 72 Ka, 71 Ch, 71 Shr, 70 Asa · “with relevant examples” in 82 Bh

1. **Unity of objectives:** clear goals for firm, each department, each post.
2. **Division of labour / specialization:** work split into jobs matched to skill.
3. **Departmentalization:** related activities grouped into units.
4. **Scalar chain / chain of command:** clear line of authority top to bottom.
5. **Unity of command:** one subordinate, one boss.
6. **Authority = responsibility:** authority given must match duty assigned.
7. **Span of control:** limited no. of subordinates per supervisor (5–6 at top, up to 20 at shop floor).
8. **Delegation:** authority pushed down to where decisions are made.
9. **Centralization vs decentralization** balanced to firm size.
10. **Coordination:** departments' work synchronized.
11. **Simplicity:** minimum levels → easy communication.
12. **Flexibility:** structure adapts to growth and change.
13. **Communication:** free two-way flow, with feedback.
14. **Continuity:** structure survives change of people.
15. **Efficiency:** goals at minimum cost and effort.

Examples (for 82 Bh): a hospital has one medical director per ward (unity of command); a factory foreman supervises 15 workers but a CEO only 5 managers (span); a bank sets branch targets from a national target (unity of objectives).

Importance of setting goals for an organization 3

PIN 1/29 82 Bh

- Gives **direction**: everyone knows what to achieve.
- **Basis for planning** and resource allocation.
- **Standard for control**: actual results measured against goals.
- **Motivates**: clear, achievable targets (see MBO, §1.3).
- **Coordinates** departments toward one end; resolves conflicts.

Formal and informal organization: definitions, differences, need for informal organization 2 3 4 5

TOP 11/29 82 Ba, 81 Bh, 79 Bh, 79 Ba, 76 Ch, 75 Ch, 74 Ch, 73 Shr, 71 Shr, 70 Asa, 65 Shr · short note in 65 Shr

- **Formal organization:** structure **deliberately created by management** for enterprise objectives; official network of authority, responsibility and communication. **Chester Barnard**: “a system of consciously coordinated activities of two or more persons towards a common objective”; exists when people (a) can communicate, (b) are willing to act, (c) share a purpose.
- **Informal organization:** network of personal and social relations that **emerges spontaneously** from friendship, language, culture, common interests. Barnard: “joint personal activity without conscious common purpose, though contributing to joint results”. Has its own informal leader, norms and grapevine.

Basis	Formal	Informal
Origin	Deliberately created by management	Spontaneous, social and psychological forces
Purpose	Organization's legitimate goals	Members' social satisfaction
Size	Can be very large	Small groups
Stability	Stable, long-lived	Unstable
Authority	Hierarchy, flows top down	All equal; power flows from the group
Behaviour	Rules and regulations	Group norms, beliefs, values
Communication	Official chain of command	Grapevine, informal channels
Leadership	Vested in the manager	Chosen by the group, may out-power the manager
Abolition	Management can abolish it	Management cannot abolish it
Chart	Shown on organization chart	Never shown

Need for informal organization ("do we need it indeed?")

- Yes: it **fills gaps** the formal structure leaves.
- **Social satisfaction**, sense of belonging → morale.
- **Fast communication** (grapevine) across departments.
- **Cooperation and teamwork** beyond job descriptions.
- **Safety valve** for frustration; eases work pressure.
- **Feedback to management** on real employee mood.
- Risks: rumours, resistance to change, group conflict. Management should **understand and use it**, not suppress it (Hawthorne, §1.3).

Historical development of organization 3

PIN 1/29 79 Bh

1. Pre-industrial era

- Self-sufficiency (village economy).
- Commercial stage with marketable surplus: barter → money system.
- Means of transport (ships, railways) → wider trade.

Informal organization within the same family? (79 Ba)

- **Yes**. A family is itself an informal organization (no written hierarchy), yet sub-groups form inside it: siblings, cousins of the same age, members sharing a hobby or a family business.
- In a **family business** (single owner or partnership) the formal roles (owner, manager, accountant) sit alongside informal family loyalties, which often decide more than the formal roles do.

2. Modern industrial era

- Industrial revolution (steam engine, machine tools) → factories.
- Corporate form: joint stock company with limited liability.
- Managerial revolution: scientific management (Taylor, Fayol).
- Mechanization, automation; economic liberalization.
- Globalization: multinationals; GATT (1947), ISO (1947), WTO (1995), SAFTA.

Characteristics / elements of an organization 4

PIN 2/29 73 Ch, 68 Ch

- **Group of people** (two or more) + **common goal**.
- **Division of work** and specialization.
- **Authority-responsibility structure** (hierarchy) and **coordination**.
- **Communication network**; **rules and procedures**.
- **Resources**: men, money, materials, machines, methods.
- **Environment** it serves and adapts to; **continuity** beyond members.
- For business operations add: profit motive, risk bearing, legal identity, customers.

Organizational behaviour: a multidisciplinary field; how management affects it 4

HOT 4/29 68 Ch, 68 Ba, 67 Asa, 66 Bh · 2065–2068 papers only verified/added

- **OB** = study of how individuals and groups behave in organizations, to improve performance and satisfaction.
- **Multidisciplinary**, it borrows from:
 - **Psychology**: individual learning, motivation, perception, personality.
 - **Sociology**: groups, roles, status, culture.
 - **Social psychology**: attitude change, group decisions, communication.
 - **Anthropology**: values, cultures across societies.
 - **Political science**: power, conflict, politics in organizations.
- **Management affects OB** through structure, leadership style, reward system, job design, communication and culture it creates: autocratic control breeds compliance; participation breeds commitment.

1.2 Management

Define management. Explain the functions of management 2 3 4 5 8

TOP 15/29 82 Bh, 81 Ba, 80 Ba, 79 Ba, 78 Bh, 76 Ch, 76 Ash, 75 Ch, 75 Ash, 73 Shr, 72 Ka, 70 Asa, 69 Ch, 68 Ch, 66 Bh · the most asked single list in the subject

- **Simple:** getting things done through other people.
- **Full:** “a social process involving coordination of human and material resources through planning, organizing, staffing, leading and controlling, to accomplish stated objectives” **effectively** (right goals) and **efficiently** (least resources).
- The **brain** of an organization; as old as civilization (Sun Tzu, Chanakya's Arthashastra).

Functions (POSDCoRB, extended)

- 1. Planning:** “thinking before doing”; deciding in advance what, how, when, who (Koontz & O'Donnell). Steps: objectives → premises → alternatives → evaluate → select → derivative plans. Components: goals, objectives, policies, rules, procedures, programs, schedules, budgets.
 - 2. Organizing:** identify + group activities, assign them, set authority relationships. Backbone of management.
 - 3. Staffing:** fill posts: recruit, select, place, train, appraise, pay.
 - 4. Directing:** orders, guidance, supervision; needs leadership.
 - 5. Motivating:** stimulate willingness to work (internal + external motivators); see Ch. 3.
 - 6. Coordinating:** “orderly arrangement of group effort to provide unity of action” (Mooney & Reiley). Internal, external, vertical, horizontal.
 - 7. Controlling:** set standards → measure performance → correct deviations. Physical, financial, budgetary control.
 - 8. Communicating:** sender → message → receiver → feedback.
- Fayol's five** (AJ Sir): planning, organizing, directing (commanding), coordinating, controlling. Write these five if the question says “basic” functions.

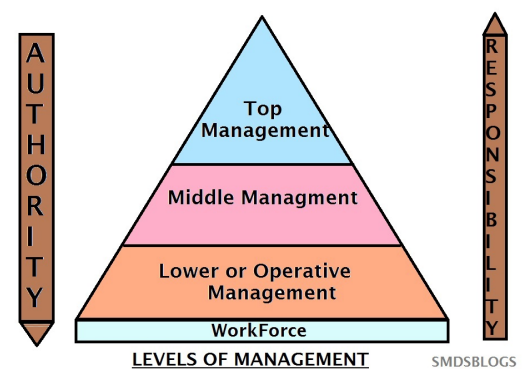
Two principal functions and why they matter most (79 Ba) 4+2

- Choose **planning** and **controlling**: they are the two ends of the same loop. Planning sets the target; controlling checks the result against it and feeds back into the next plan. Every other function (organizing, staffing, directing) executes the plan in between. No plan → nothing to control; no control → plans are wishes.

Levels of management: why different levels are needed, and functions at each level 2 4 5 6

TOP 9/29 82 Bh, 82 Ba, 80 Bh, 78 Bh, 75 Ash, 74 Ch, 73 Ch, 72 Ch, 69 Ch

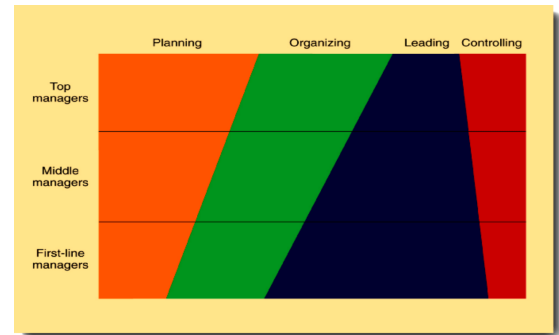
- **Top level** (board of directors, CEO, MD, chairman):
 - Sets goals, objectives, policies, budget.
 - Main function: **decision making, planning**; cross-department responsibility.
 - Answerable for success or failure of the whole firm.
- **Middle level** (department heads, section officers):
 - Implements top's policies; **organizes** resources.
 - Link between top and lower; plans for own department.
 - Selects, trains, motivates lower managers.
- **Lower / operative level** (foreman, supervisor, inspector):
 - Day-to-day supervision of workers; **directing** and on-the-spot control.
 - Passes workers' problems upward.



Authority rises and responsibility widens toward the top. AJ Sir, Ch. 1 deck, slide 15.

Why levels are needed

- **Span of control:** one person cannot direct hundreds.
- **Division of work:** strategic vs tactical vs operational decisions.
- **Clear authority and responsibility;** accountability at each step.
- **Communication:** orders down, reports up.
- **Specialization and career growth:** a ladder for managers.



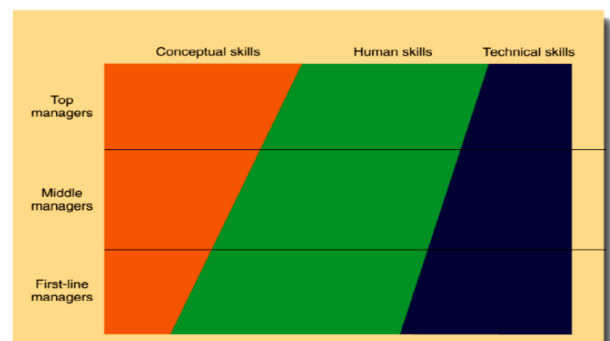
Share of time on each function by level: top managers plan and organize most; first-line managers lead (direct) most. Adhikari notes, p57.

Managerial skills and the degree needed at each level; qualities of a good manager 1 3 4 5

TOP 10/29 82 Ba, 81 Bh, 81 Ba, 78 Bh, 76 Ch, 75 Ash, 74 Ch, 73 Ch, 72 Ch, 71 Shr · short note in 81 Bh

Katz's three skills

- **Technical skill:** job-specific methods, processes, tools, equipment of a specialized field. **Most needed at lower level.**
- **Human (interpersonal) skill:** understand, communicate with, motivate and lead people and groups. **Needed equally at all levels.**
- **Conceptual skill:** see the organization as a whole, analyse and diagnose situations, cause vs effect, long-range decisions. **Most needed at top.**



Degree of each skill by level: conceptual shrinks and technical grows going down; human skill stays wide throughout. Adhikari notes, p62.

Modern manager also needs

- **Decision-making, communication, IT / digital skills.**
- **Time management, diagnostic skill, design skill** (solving problems, not just spotting them).

Qualities of a good manager

- Leadership, vision, decisiveness.
- Communication and listening.
- Integrity, fairness, self-confidence.
- Technical knowledge + ability to learn.
- Emotional stability, patience; initiative.

Roles of a manager (Mintzberg) 4

PIN 1/29 76 Ash verified/added

- **Interpersonal:** figurehead, leader, liaison.
- **Informational:** monitor, disseminator, spokesperson.
- **Decisional:** entrepreneur, disturbance handler, resource allocator, negotiator.
- AJ Sir's "interpersonal, informational, decisional skills" are these three role groups.

Importance of management 3 4

PIN 2/29 71 Shr, 70 Asa

- **Achieves group goals:** directs everyone to common objectives.
- **Optimum use of resources:** efficient + effective; less waste.
- **Reduces costs** → competitive prices.
- **Establishes sound organization:** right person, right job.
- **Adapts to change:** new technology, markets.
- **Development of society:** "no underdeveloped countries, only undermanaged ones"; jobs, better living standard.

Models of management: name them, explain any two or three with examples 3 4 5

HOT 4/29 81 Bh, 80 Bh, 76 Ash, 70 Ch · team-effort model as a short note in 81 Bh

1. **Hierarchical:** authority from superior, responsibility to superior. Eg army, civil service. Limitation: ignores leadership, charisma, informal communication.
 2. **Task-oriented:** manager does five tasks (plan, organize, direct, coordinate, control); a cycle, not a line. Eg a production plant.
 3. **Allocational:** manager obtains, allocates, shares, monitors and returns resources (money, manpower, materials), "keeping the cup topped up". Eg finance or project resource manager.
 4. **Transactional:** management as a stage in the value-added chain; adds value to raw resources. Eg supply chain firms.
 5. **Team effort:** interlocking teams; manager as team leader stressing cooperation, leadership, coordination; team output exceeds sum of individuals. Eg software development (agile team), surgical team.
 6. **Knowledge-oriented:** manager builds knowledge by experience and diffuses it by teaching, coaching, training → firm learns to adapt. Eg consulting, R&D.
 7. **Goal-concentrated:** management as control toward goals; information from environment triggers adjustments so the plan holds. Eg sales team with targets.
- A firm usually mixes several models.

Management: science or art? 3

PIN 1/29 78 Bh

- **Science:** systematic body of knowledge; principles (Fayol, Taylor) tested by observation; cause-effect. Eg time study sets a standard output.
- Inexact science: deals with people, so results are not perfectly repeatable.
- **Art:** personal skill, creativity, judgement in applying knowledge; improves with practice. Eg two managers apply the same rule with different success.
- **Both:** science gives the principles, art applies them. Complementary.

Organization vs management (vs administration) 2

PIN 3/29 79 Ba, 76 Ash, 71 Ch

Basis	Organization	Management
Meaning	Structure: people + jobs + relations	Process: planning, organizing, directing, controlling
Nature	A tool / framework (the body)	The force that runs it (the brain)
Relation	One function of management	Uses organization to reach goals
Output	Defined roles, authority	Goals achieved efficiently

Administration lays down policy, arranges finance (top level, thinking); **management** executes policy within those limits (doing).

Which management theory is most practical today / best for organizations in Nepal? 4 8

PIN 2/29 80 Ba, 74 Ash · an opinion question: take a side and justify

- Argue for the **contingency / system approach**: no single best way; mix theories to fit the situation.
- **Why, for Nepal:**
 - Mixed sector: family firms, cooperatives, public corporations, MNCs, IT startups → each needs a different style.
 - Labour-intensive manufacturing (garments, cement) → Taylor's time study and incentives still raise output.
 - Public enterprises (NEA, NOC) → Fayol's clear hierarchy, unity of command, discipline cure overlapping authority.
 - Service and IT firms, remittance-driven youth workforce → behavioural approach: motivation, participation, recognition to retain staff.
 - Political instability, frequent policy change → open-system thinking, watching the environment.
- Conclude: **contingency approach**, drawing on all the classical tools.

1.3 Theories of Management

Scientific management (Taylor): principles, experiments, features, applicability today 3 4 5 8

TOP 11/29 82 Bh, 81 Ba, 80 Bh, 79 Ba, 75 Ch, 75 Ash, 72 Ch, 71 Ch, 68 Ch, 68 Ba, 65 Shr · short note in 68 Ch

- **F.W. Taylor** (1856–1915), US engineer at Midvale and Bethlehem Steel; “Father of Scientific Management”. Book: *Principles of Scientific Management* (1911). Term coined by Louis Brandeis (1910); Charles Babbage anticipated it (1832).
- **Definition**: “the art of knowing exactly what is to be done and the best way of doing it”; replacing rule of thumb with scientific study of work.
- **Historical development**: rule-of-thumb factories, soldiering (deliberate slow work), no standards → Taylor’s shop studies (1880s) → Gilbreth’s motion study, Gantt chart → mass production (Ford).

Principles

1. **Science, not rule of thumb**, for each element of work.
2. **Scientific selection, training and development** of workers.
3. **Cooperation**, not individualism, between management and labour.
4. **Equal division of responsibility**: management plans, workers do.
5. **Harmony**, not discord; maximum output, not restricted output.

Techniques (features)

- **Time study**: standard time → fair day’s work.
- **Motion study**: remove wasted motions (Gilbreth).
- **Fatigue study**: rest pauses.
- **Standardization** of tools, methods, conditions.
- **Differential piece-rate** wages: higher rate above standard.
- **Functional foremanship**: 8 specialist foremen.
- **Management by exception**: only deviations go to top.

Scientific management vs management science 3

PIN 1/29 72 Ch

- **Scientific management** (Taylor, 1900s): improves **worker productivity** at shop level by time and motion study, standardization, incentive wages.
- **Management science** (quantitative approach, 1940s on): uses **mathematical models**, operations research, statistics, simulation, linear programming for **managerial decisions** at every level.

Role of HR manager; how HR manager implements scientific management 4+4

PIN 1/29 75 Ch

- **Significance**: manpower planning, recruitment, training, appraisal, wages, welfare, industrial relations, retention (see Ch. 2).
- **Implementing Taylor**: job analysis and standards (time study); scientific selection by tests; training in the one best method; differential incentive wages; worker-management cooperation.

Administrative management (Fayol): 14 principles, and are they applicable today? 4 8

TOP 9/29 82 Bh, 80 Ba, 79 Bh, 79 Ba, 75 Ash, 72 Ka, 71 Shr, 70 Ch, 70 Asa

- **Henri Fayol** (1841–1925), French mining engineer; “Father of Modern Management”. *General and Industrial Management* (1916).
- Studied management **from the top down** (Taylor: from the shop floor up).
- Six activities of a firm: technical, commercial, financial, security, accounting, **managerial** (plan, organize, command, coordinate, control).

- Technical ability dominates at lower levels; managerial ability at higher levels.

The 14 principles

1. **Division of work:** specialization.
2. **Authority and responsibility:** go together.
3. **Discipline:** obedience, respect for agreements; penalties.
4. **Unity of command:** one boss.
5. **Unity of direction:** one plan, one head per group of activities.
6. **Subordination of individual interest** to general interest.
7. **Remuneration:** fair to both.

Applicable today? Yes

- Every organization chart uses scalar chain, unity of command, division of work.
- Fayol's functions (POCCC) are still the standard management process.
- Matrix structures bend unity of command; startups bend centralization. Principles are **flexible guidelines**, applied by situation (Fayol said so himself).

8. **Centralization:** degree set by situation.
9. **Scalar chain:** line of authority; "gang plank" for speed.
10. **Order:** right place for everything and everyone.
11. **Equity:** kindness + justice.
12. **Stability of tenure:** low turnover.
13. **Initiative:** encourage it.
14. **Esprit de corps:** union is strength, team spirit.

Experiments / contributions around it

- Fayol: 30 years running Commentry-Fourchambault, turned a near-bankrupt mining firm profitable by applying these principles.
- **Gilbreths:** motion study, process charts, therbligs.
- **Gantt:** Gantt chart, planned vs actual progress.
- **Weber:** bureaucracy (rules, hierarchy, impersonality).

Behavioural management approach (Mayo, Hawthorne): and how it compares with scientific and administrative approaches 3 4 5 8

TOP 11/29 82 Ba, 81 Bh, 81 Ba, 80 Ba, 79 Ba, 78 Bh, 76 Ch, 75 Ash, 73 Shr, 71 Shr, 66 Bh

- **Elton Mayo** and associates (1920s–30s): organization is a **social system**, not only a techno-economic one. Productivity depends on human behaviour and social environment, not only money.
- Also: **Maslow** (need hierarchy), **McGregor** (X-Y), **Herzberg**, Follett, Barnard. Human relations movement.
- **Elements:** the individual (differences, feelings, perceptions), the work group (informal organization), participative management.

Hawthorne experiments (Western Electric, 1924–32)

1. **Illumination** (1924–27): output rose whether light went up or down → physical factors were not the cause.
2. **Relay assembly test room:** 6 women; rest, hours, pay varied; output rose almost every time → attention, group morale matter.
3. **Interviewing programme:** 21,000 workers → feelings, informal groups shape performance.
4. **Bank wiring room:** 14 men; group set its own output norm and enforced it → informal group controls output.

Conclusions

- Attention from managers raises output (Hawthorne effect).
- Workers are social beings; money is not the only motivator.
- Informal groups set norms; must be integrated with the formal organization.
- Satisfaction → productivity; participation and communication matter.
- Managers need **social skills**, not only technical ones.

Limitations

- Over-stresses the social side; satisfied workers are not always productive.
- Hawthorne method criticized (small samples).

Basis	Scientific (Taylor)	Administrative (Fayol)	Behavioural (Mayo)
Focus	Worker, shop floor	Manager, whole firm	People and groups
View of person	Economic man, money motivates	Part of a structure	Social man, needs motivate
Aim	Max output per worker	Sound structure, principles	Satisfaction → productivity
Method	Time and motion study	Principles from experience	Experiments, observation
Informal group	Ignored	Ignored	Central
Contribution	Standards, incentives, efficiency	Management process, 14 principles	Motivation, participation, human relations
Limitation	Mechanical, monotony	Rigid, universal claims	Neglects structure, economics

- **Advantages of behavioural over scientific** (78 Bh, 73 Shr): treats workers as humans; uses informal groups; participation raises commitment; lower turnover and conflict; quality improves with morale.
- **Over modern theory** (82 Ba): simpler to apply; directly improves morale and motivation, where quantitative models ignore people; still the base of HR practice. Admit modern theory integrates it.

Modern management theories: system approach and contingency approach 4 5 7

HOT 4/29 82 Ba, 68 Ch, 67 Asa, 66 Bh · short note in 66 Bh

- After 1950; four streams:
 1. **Quantitative**: models, OR, simulation, linear programming.
 2. **System**: organization = open system of interrelated sub-systems; inputs → process → outputs + feedback (Boulding, Johnson, Churchman, late 1960s).
 3. **Contingency**: “it depends”.
 4. **Operational**: Koontz, O'Donnell: universal body of knowledge applied to each situation.
- Traits: systems view, dynamic, multidisciplinary, multivariable, adaptive, probabilistic.

Contingency approach: importance

- Woodward, Fiedler, Lawrence and Lorsch.
- **No one best way**: the right structure, style, technique depends on the situation (size, technology, environment, people).
- Framework: environment + management concepts + the contingent relationship between them (if-then).
- **Importance**: practical, flexible; integrates classical, behavioural and quantitative tools; fits fast-changing environments; trains managers to diagnose.
- Weakness: no firm principles, hard to teach.

Management by objectives (MBO) 4

LOW 1/29 68 Ch · short note **verified/added**

- **Peter Drucker** (1954): superior and subordinate **jointly set objectives**, then review performance against them.
- Steps: set organizational goals → agree individual objectives → action plans → periodic review → appraisal and reward.
- Merits: clear goals, commitment, self-control, objective appraisal. Demerits: time consuming, favours short-term measurable goals.

1.4 Forms of Ownership

Forms of ownership: list with brief explanation; choosing one; how an organization changes its form

4 8

HOT 4/29 82 Ba, 74 Ch, 73 Shr, 71 Shr

- **Firm** = ownership unit combining men, materials, machines to produce and sell at a profit.
- **Five forms:**
 1. **Single ownership:** one owner, unlimited liability.
 2. **Partnership:** 2+ partners by a deed, share profit and loss.
 3. **Joint stock company:** capital from shareholders, limited liability, separate legal entity.
 4. **Cooperative society:** voluntary, one member one vote, service motive.
 5. **Public corporation:** created by special act, owned by government.
- **Choice depends on:** size and nature of business, capital needed, liability exposure, control wanted, tax, managerial skill, continuity, cost of formation, government rules.

Changing form of ownership (73 Shr)

- Growth needs capital and skills one owner lacks → owner takes partners.
- Partnership's unlimited liability and instability → convert to a **private limited company**.
- More capital needed → **public limited** via IPO.
- Reverse path: loss-making public enterprise → privatized.

Nepali examples verified/added

- **Chaudhary Group:** family trading shop → group of companies → listed CG / Nabil holdings.
- **Nepal Telecommunications Corporation** → Nepal Doorsanchar Company Ltd (2004) → listed public company.
- **Bhrikuti Paper, Bansbari Leather:** public enterprises privatized in the 1990s.

Single ownership (sole proprietorship): features, advantages, limitations 4 8

PIN 3/29 80 Bh, 71 Shr, 65 Shr · short note in 65 Shr; 80 Bh compares it with a JSC (table below)

Features

- Oldest, simplest; one person owns, finances, manages, bears all risk.
- Owner and business are the same in law.
- **Unlimited liability:** personal property liable for business debts.
- Suits small shops, cottage industry, handicrafts, farming.

Advantages

- Easy and cheap to form and dissolve; few legal formalities.
- Full control, prompt decisions, flexibility.
- Direct motivation: all profit to owner.
- Business secrecy.
- Personal contact with customers and employees.
- Little government control.

Limitations

- Limited capital.
- Limited managerial skill (one person cannot master production, marketing, finance, HR).
- Unlimited liability.
- Uncertain life: ends with owner's death or illness.
- Cannot compete with large firms; no economies of scale.
- Heavy workload, stress; isolation in decisions.

Partnership: features, types of partners, advantages and difficulties 3 4 5

PIN 3/29 81 Bh, 74 Ash, 67 Asa · short note in 67 Asa

Features

- Association of 2+ persons to run a business and share profit.
- Formed by agreement: **partnership deed** (capital, profit ratio, duties, dissolution).
- Unlimited, joint and several liability (except limited partners).
- Mutual agency: each partner binds the firm.
- No separate legal entity; restricted transfer of interest.

Types of partners

- **General / active:** manage, unlimited liability.
- **Limited:** liability up to capital; no say in management.
- **Sleeping / silent:** capital only, no management, still liable.
- **Nominal:** lends name only; no capital.
- **Minor:** under 18, benefits only.
- **Partner by estoppel:** implies being a partner, liable to third parties.

Advantages

- Easy to form; little regulation.
- More capital than sole owner.
- Complementary skills; division of labour.
- Shared risk; prompt decisions (few people).
- Flexibility; personal interest of partners.

Difficulties / disadvantages

- Unlimited liability of at least one partner.
- Conflict, misunderstanding between partners → instability.
- Limited life: ends on death, insolvency, retirement of a partner.
- Mutual agency: one partner's mistake binds all.
- Cannot easily transfer share; capital still limited.
- Unequal effort vs equal sharing breeds resentment.

Joint stock company: meaning, characteristics, types, formation in Nepal, advantages and disadvantages 2 3 4 5 6 8

TOP 10/29 81 Ba, 80 Bh, 80 Ba, 79 Ba, 76 Ch, 76 Ash, 75 Ash, 70 Ch, 69 Ch, 67 Asa · **most asked form of ownership**

- **Meaning:** voluntary association of persons, registered under the Companies Act, whose capital is divided into transferable shares. Shareholders own it; an elected **board of directors** manages it (elected at the AGM).

Characteristics

- Created by law (registration); **separate legal entity**.
- **Perpetual succession:** unaffected by death of shareholders.
- **Limited liability:** up to share value.
- **Transferable shares** (freely in public company).
- Common seal; can sue and be sued.
- Ownership separate from management.
- Large membership, large capital.

Types (Companies Act 2063, Nepal) verified/added

- **Private limited:** 1 to 101 shareholders; cannot invite the public to buy shares; share transfer restricted; name ends "Pvt. Ltd."
- **Public limited:** min 7 promoters, no upper limit; min paid-up capital Rs 1 crore; shares offered to public and listed; "Ltd."
- Adhikari's "max 50" for private is the old Indian figure; Nepal's is 101.

Formation / registration in Nepal verified/added

- Promotion:** promoters identify the idea, feasibility, name.
- Name approval** from the **Office of the Company Registrar (OCR)** (online, ocr.gov.np).
- Documents** filed:
 - Application form.
 - **Memorandum of Association:** name, objectives, registered office, authorized / issued / paid-up capital.
 - **Articles of Association:** internal rules, board, meetings, share transfer.
 - Promoters' citizenship (passport for foreigners); agreement among promoters; consent of directors.
 - Registration fee (scaled to authorized capital).
- OCR scrutinizes → **certificate of incorporation**.
- PAN / VAT at Inland Revenue; local ward registration.
- Public company only: prospectus approved by SEBON, IPO, **certificate of commencement of business**, listing at NEPSE.

Advantages

- Huge capital from many investors; fresh issue possible.
- Limited liability → attracts investors.
- Transferable shares → liquidity.
- Stability, continuity.
- Professional, efficient management.
- Economies of large-scale production.
- Public confidence (audited, published accounts); easy loans.
- Social benefit: jobs, investment opportunity.

Disadvantages

- Difficult, costly, lengthy formation; legal formalities.
- Lack of personal interest (salaried managers, scattered owners).
- Delay in decisions (board meetings).
- Lack of secrecy.
- Excessive government regulation.
- Directors may exploit shareholders; speculation in shares; favouritism.
- Impersonal labour relations.

Basis	Single ownership	Partnership	Joint stock company
Owners	One	2 or more, by deed	Many shareholders
Formation	Easiest, cheapest	Easy, by agreement	Registration, costly
Legal entity	None	None	Separate
Liability	Unlimited	Unlimited (joint)	Limited
Capital	Small	Moderate	Large
Management	Owner	Partners	Board of directors, professional
Continuity	Ends with owner	Ends with a partner	Perpetual
Transfer of interest	At will	Needs all partners' consent	Free (public)
Secrecy	Full	Fair	Little
Regulation	Minimum	Low	Heavy

Why JSC is better than partnership (79 Ba, 76 Ch, 76 Ash): limited liability, larger capital, perpetual life, transferable shares, professional management, public confidence and easier loans.

Private limited vs public limited company 5

PIN 1/29 67 Asa

Basis	Private limited	Public limited
Members (Nepal)	1 to 101	Min 7 promoters, no max
Shares to public	Not allowed	Offered to public, listed
Transfer of shares	Restricted	Free
Min capital	No statutory minimum	Paid-up Rs 1 crore
Start of business	On incorporation	Needs certificate of commencement
Disclosure	Less	Full, audited, published

Co-operative societies: meaning, features, types, merits and demerits 5 8

HOT 4/29 82 Bh, 81 Bh, 79 Bh, 72 Ka

- **Meaning:** voluntary association of persons on equal footing for common economic interest; **service motive**, not profit. Motto: “each for all and all for each”.
- **Features:** voluntary, open membership; democratic management (**one member one vote**, regardless of shares); limited dividend, surplus shared as patronage bonus; self-help, equality; separate legal entity after registration.
- **Nepal:** registered under the Cooperative Act 2074; a primary cooperative needs at least 30 members

verified/added .

Merits

- Easy formation; limited liability; continuity.
- Democratic; protects weak members.
- Eliminates middlemen → cheaper goods, better prices.
- Government support, tax concessions; reduces inequality.

Types

1. **Producers’:** small producers pool raw materials, tools, sell output (dairy, handicraft, cottage industry).
2. **Consumers’:** buy wholesale, sell daily goods to members cheaply.
3. **Marketing:** farmers, artisans sell produce jointly (Eg milk cooperatives).
4. **Housing:** members get land, build houses at low cost.
5. **Credit / savings and credit:** pool savings, lend to members at fair rates (most common in Nepal).
6. **Multipurpose:** several services together.
7. **Farming:** small farmers pool land for mechanized farming.

Demerits

- Limited capital; inefficient, amateur management.
- Lack of motivation (fixed dividend); lack of secrecy.
- Political interference, favouritism; misuse of funds (Nepal’s savings-cooperative scandals).

Public corporation: features, advantages, disadvantages; vs joint stock company 4

PIN 1/29 81 Ba

- **Meaning:** autonomous body created by a **special act of parliament**, wholly owned by government, for public service. Nepal: Corporation Act 2021 BS and individual acts. Eg Nepal Electricity Authority, Nepal Oil Corporation, Nepal Airlines Corporation, Nepal Food Corporation.
- **Features:** statutory creation; separate legal entity; government ownership; financial and managerial autonomy; service motive; public accountability to parliament; board appointed by government.

Advantages

- Autonomy + public accountability: flexibility of business, control of government.
- Service motive, protects public interest; strategic sectors kept national.
- Large finance from government; continuity; limited liability.

Disadvantages

- Political interference; appointments by politics, not merit.
- Inefficiency, bureaucracy, losses (no profit pressure).
- Monopoly → poor service to customers.
- Autonomy often only on paper; delay in decisions.

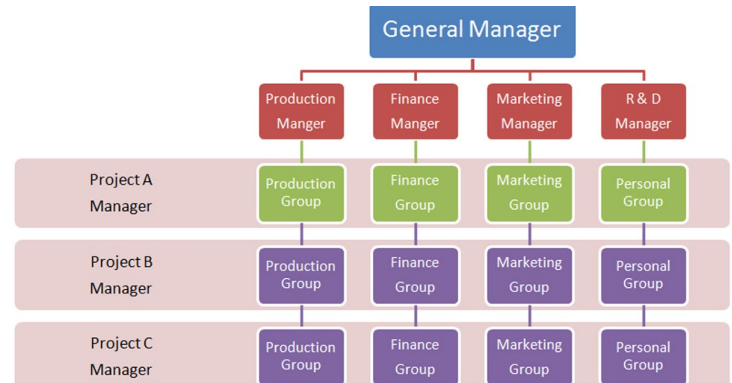
Basis	JSC	Public corp.
Created by	Registration, Companies Act	Special act
Owners	Private shareholders	Government
Motive	Profit	Public service
Management	Elected board	Government-appointed board
Accountable to	Shareholders	Parliament, public
Capital	Shares	Government funds, loans

Adhikari’s “Public Corporations” slides (pp111–114: domestic / foreign / alien, double taxation) describe the **American business corporation**, i.e. a JSC. The syllabus means the government statutory corporation above.

As CEO of a software company, which ownership and structure would you choose? 4+4

PIN 1/29 74 Ch · answer with a figure

- **Ownership: private limited company:**
 - Limited liability protects founders.
 - Can bring in investors and give employees shares (ESOP).
 - Continuity; credibility with foreign clients.
 - Converts to public later if it grows.
- **Structure: matrix:** functional departments (development, QA, design, marketing, finance) supply staff to project teams under project managers.
 - Many parallel client projects.
 - Shares scarce specialists.
 - Fast response, skill growth.



Matrix organization: functional managers across the top, project managers down the side. AJ Sir, Ch. 1 deck, slide 67.

1.5 Organizational Structure

Organization structure: meaning, factors, how it is designed for an enterprise 2 4

HOT 6/29 79 Bh, 75 Ch, 71 Ch, 71 Shr, 70 Asa, 68 Ch · short note in 79 Bh, 75 Ch, 71 Shr

- **Meaning:** the **framework** that divides total activities into groups, fixes superior-subordinate relations and authority, and shows who reports to whom. Shown on an **organization chart**.
- Covers division of labour, coordination, communication, workflow, formal power.
- **Depends on:** size, nature of product, technology, complexity of problems, environment, competence of staff.
- **Types:** line, functional, line & staff, committee, (matrix, project).

How it is designed (steps)

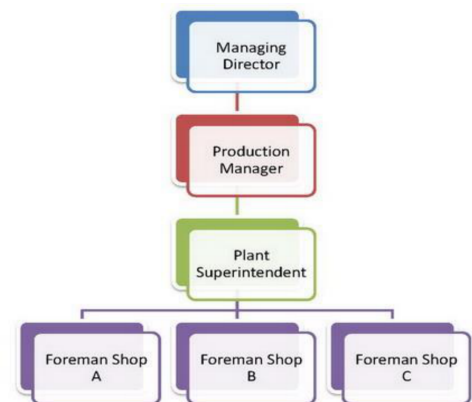
1. Set objectives.
 2. Identify and list activities.
 3. Group activities into departments (by function, product, area, customer).
 4. Decide levels and span of control.
 5. Assign authority and responsibility; delegate.
 6. Set coordination and communication links.
 7. Draw the chart; review as the firm grows.
- No single best structure: each firm evolves its own.

Line organization: features, advantages and disadvantages 4

HOT 4/29 76 Ch, 76 Ash, 71 Ch, 70 Asa

- Oldest, simplest; also **military** or **scalar** organization.
- Authority flows **vertically** top to bottom; responsibility bottom to top.
- Each head has full control of his department (finance, production, sales); each department self-contained.
- Suits small firms, routine work, few employees.

Advantages	Disadvantages
Simple, easily understood	Overload on top executives
Clear authority and responsibility	No specialization
Strong discipline	Dictatorial, one-man show
Unity of command	Depends on a few key persons
Quick decisions	Duplication of work across departments
Rapid communication, easy coordination	Unsuitable for large firms
Economical	Scope for favouritism; poor communication upward

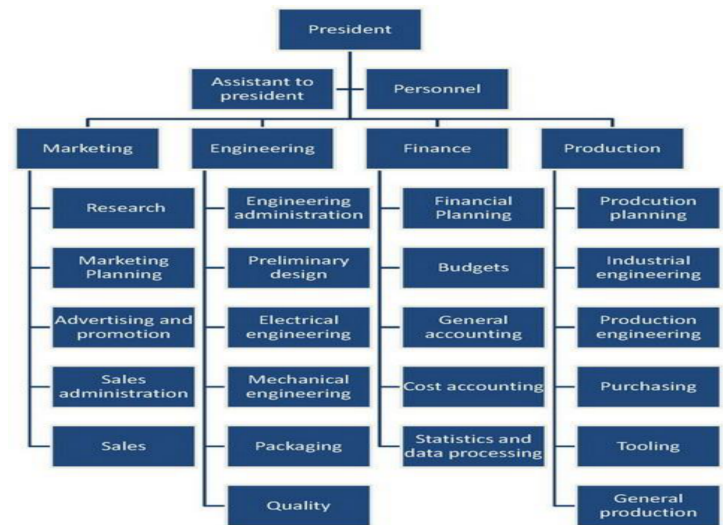


Line organization: a single vertical chain from managing director to foremen. Adhikari notes, p120.

Functional organization: features, advantages and disadvantages (with sketch) 3 4

HOT 4/29 82 Bh, 68 Ch, 68 Ba, 67 Asa · short note in 67 Asa

- Proposed by **F.W. Taylor**: all-round foremen were hard to find.
- Work divided by **function**; each function under a **specialist** who commands workers **only in his field**.
- Taylor's **functional foremanship**: 8 foremen, 4 in the planning room (route clerk, instruction card clerk, time and cost clerk, disciplinarian) + 4 on the shop floor (gang boss, speed boss, repair boss, inspector).
- Worker receives orders from several bosses → breaks unity of command.



Functional structure: marketing, engineering, finance, production, each under its expert.

Adhikari notes, p124.

Advantages

Specialization, expert guidance
 Efficiency, standardized operations
 Easy selection and training of specialists
 Reduced burden on top executives
 Lower cost through expertise; scope for growth

Disadvantages

Violates unity of command → indiscipline
 Overlapping authority, conflicts
 Shifting of responsibility
 Poor coordination between functions
 Delayed decisions needing several experts; costly

Line and staff organization; its advantages over line and functional organization 4 5

HOT 4/29 82 Ba, 79 Bh, 74 Ch, 66 Bh

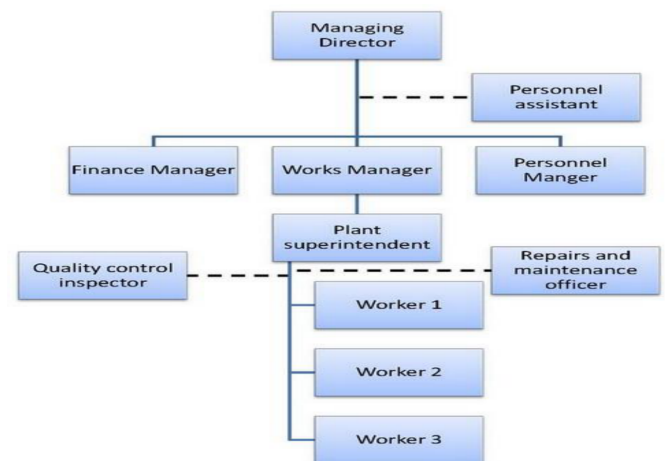
- Line structure + **staff specialists** (legal adviser, personnel, research, quality control) who **advise** line managers but have **no command authority**.
- “Staff are thinkers, line are doers.”
- Suits large plants: steel mills, electricity boards, big factories.

Advantages over line organization

- Expert advice → better decisions.
- Relieves overloaded line executives.
- Suits growth and complexity.

Advantages over functional organization

- Keeps unity of command and discipline.
- No overlapping authority.
- Clear accountability for results.



Line and staff: dashed lines are staff (advice only). Adhikari notes, p128.

Disadvantages

- Line-staff friction; line resents advice.
- Staff without authority may be ineffective.
- Staff not accountable for results → lethargy.
- Expensive; confusion over duties.
- Line may lose initiative, over-rely on staff.

Committee organization: types, merits and demerits 4

PIN 3/29 79 Bh, 75 Ash, 74 Ch

- Formal group of 2+ persons appointed to deliberate on problems one person cannot solve; members meet, discuss, recommend or decide.
- Not a separate structure: added to line or line & staff at any level.

Types

- **Ad hoc**: temporary, dissolves after its task.
- **Standing / permanent**: repetitive work (purchase, research committee).
- **Advisory (staff)**: recommend only.
- **Executive (line)**: has power to decide and enforce.
- **Formal / informal**: by charter or by convenience.

Merits

- Pooled knowledge; problem seen from several views.
- Coordination between departments.
- Democratic, participative; better acceptance.
- New ideas; checks concentration of power.

Demerits

- Slow decisions; costly (many people's time).
- Compromise, not the best decision.
- Divided responsibility (no one accountable).
- Dominated by a few members.

Matrix / project organization; which structure suits a (temporary) engineering project? 5 8

PIN 3/29 73 Ch, 72 Ch, 68 Ba · 68 Ba asks the matrix chart; 74 Ch's software-company version is in §1.4

- **Project organization**: a temporary team under a **project manager**, formed for one project, dissolved at completion.
- **Matrix**: project structure laid over a functional one; staff report to a functional manager (technical) **and** a project manager (schedule, cost). Two bosses. (Figure in §1.4.)
- **Merits**: efficient use of specialists across projects; clear project accountability; skill development, job rotation; fast response.
- **Demerits**: violates unity of command; power struggle; complex, confusing; costly coordination.

Best for a temporary engineering project: project / matrix

- Project has fixed **start, end, budget, scope**: a dedicated project manager owns all three.
- Needs **many disciplines** (civil, electrical, mechanical, finance) together.
- Team **disbands** at completion; specialists return to departments.
- Single point of contact for client; faster decisions than line.
- **Line** would lack specialists, **functional** would scatter responsibility, **committees** are too slow.
- Large one-off project (hydropower, highway) → pure project organization; firm running many projects → matrix.

Authority and responsibility; span of control; policy group vs executive group 3 4 5

HOT 4/29 68 Ch, 68 Ba, 67 Asa, 65 Shr · span of control also a short note in 68 Ch

Authority vs responsibility

Basis	Authority	Responsibility
Meaning	Right to decide, command, use resources	Obligation to perform assigned work
Flow	Downward	Upward
Delegation	Can be delegated	Cannot be delegated fully
Source	Position (formal)	Superior-subordinate relation

Principle: authority must be **equal** to responsibility.

Policy group vs executive group

- **Policy group**: board of directors / top management; frames objectives, policies, budgets (administration, thinking).
- **Executive group**: managers who carry policies out, direct day-to-day work (management, doing).

Span of control

- **No. of subordinates directly reporting** to one superior.
- **Narrow span:** close supervision, many levels, tall structure, slow communication.
- **Wide span:** flat structure, fast communication, more delegation, less control.
- Typical: 5–6 at top, 15–20 at shop floor.
- In a **line organization** span decides the no. of levels.

- **Factors:** ability of manager and subordinates, nature of work (routine = wide), degree of delegation, communication tools, geographic spread.
- **Graicunas:** with n subordinates the relationships to manage are $n(2^{n-1} + n - 1)$: 6 people → 222. Why span must stay limited.

1.6 Purchasing and Marketing Management

Purchasing: meaning, objectives (5 R's), principles, functions of the purchasing department 3 4 5 8

TOP 10/29 82 Bh, 81 Bh, 78 Bh, 76 Ch, 72 Ka, 71 Ch, 70 Ch, 70 Asa, 67 Asa, 65 Shr · short note "role of purchasing and marketing" in 82 Bh

- **Purchasing:** acquiring materials, supplies, machines, tools and services by payment, for the firm's operation. First phase of materials management.
- **Alford and Beatty:** "procuring of materials, supplies, machines, tools and services required for equipment, maintenance and operation of a manufacturing plant."
- **Objectives: the 5 R's:** right **quality**, right **quantity**, right **price**, right **time**, right **source** (+ right place).
- Continuous supply, minimum inventory, good vendor relations, low total cost.

Principles of purchasing

- Buy to specification and standards.
- Competitive quotations; buy on total value, not lowest price.
- Centralized purchasing for economy.
- Ethical dealing, no favouritism; prompt payment.
- Develop reliable, alternative sources.
- Keep records; review make-or-buy.

Purchasing vs procurement (71 Ch)

- **Purchasing:** the buying transaction (order, pay).
- **Procurement:** wider: need identification, sourcing, contracts, buying, logistics, receiving, vendor management; includes lease, hire, transfer.

Functions of purchasing department

1. Receive and check purchase requisitions.
2. Review specifications; standardize, simplify.
3. Keep records of materials, substitutes, suppliers, prices.
4. Call and analyse quotations; select vendor.
5. Negotiate; place orders; follow up.
6. Inspect: right quality and quantity.
7. Prepare purchase budget.
8. Buy at right time and economical rate.
9. Keep uninterrupted supply to production.
10. Liaison between vendors and production, QC, finance, stores.
11. Ensure prompt payment → good vendor relations.
12. Develop new sources; handle sub-contracts.
13. Keep inventory optimum; dispose of scrap and salvage.

Role of purchasing and marketing departments

- **Purchasing:** input side, supplies right materials at lowest total cost → cost and quality of product.
- **Marketing:** output side, finds needs, sells product, brings revenue.
- Together they link the firm to suppliers and customers.

Methods of purchasing; purchasing procedure (process outline) 2 4 5

HOT 6/29 81 Bh, 79 Ba, 76 Ash, 74 Ash, 72 Ch, 71 Shr

Methods

1. **By requirement** (hand-to-mouth): buy as need arises.
2. **For a specified period**: regular items bought for a schedule.
3. **Market purchasing**: buy ahead when prices are low and expected to rise.
4. **Speculative**: buy excess for profit from price rise.
5. **Rate contract**: agreed price for 2–3 years (coal, steel).
6. **Group purchasing**: many items in one order.
7. **Through government supplies agency** at rate-contract prices.

By procedure (AJ Sir)

- **Direct**: urgent, from a known supplier.
- **Quotation**: at least 3 quotations, pick best.
- **Tender**: public notice in newspapers; sealed bids; evaluate (large or public purchases; Public Procurement Act 2063 in Nepal).

Purchasing procedure (steps)

1. Recognize need: **purchase requisition** from department / store.
2. Describe need: specification, quantity.
3. Enquiry to suppliers.
4. Receive quotations / tenders.
5. **Comparative statement**; evaluate.
6. Select and approve supplier; negotiate.
7. **Place purchase order**; copies to stores, accounts, requesting department.
8. **Follow up** the order.
9. Receive goods; **inspect**; goods-received report.
10. Check invoice; pass to accounts for **payment**.
11. Issue materials; maintain records.

Draw steps 1–11 as a vertical flow of boxes for “draw an outline of the purchasing process” (76 Ash).

Marketing: definition, concept, and its importance (in modern business and the digital era) 3 4 5 8

TOP 14/29 82 Bh, 82 Ba, 81 Bh, 81 Ba, 79 Bh, 79 Ba, 78 Bh, 76 Ch, 75 Ch, 74 Ash, 73 Ch, 73 Shr, 70 Ch, 68 Ba · asked almost every year

- **Stanton**: “a total system of interacting business activities designed to plan, price, promote and distribute want-satisfying products and services to present and potential customers.”
- **Kotler**: satisfying needs and wants through exchange processes.
- Starts with identifying a consumer need, ends with satisfying it.
- **4 P's**: product, price, place, promotion.

Marketing concept

- Evolution: production → product → selling → **marketing** → societal concept.
- Three pillars: **customer orientation**, **profit through satisfaction** (not volume), **integrated effort** of all departments.
- Selling concept: “sell what we make”. Marketing concept: “make what customers want”.

Marketing research (4 elements)

- Current sales analysis; market intelligence (competitors); market analysis (reaction to price, new product); product evaluation.

Importance

- **To the firm**: brings revenue, the only source of profit; tells production what to make; builds brand, loyalty; survives competition.
- **To consumers**: right product, right place, right price; choice, information.
- **To society / economy**: creates demand → production → jobs; raises living standard; distribution to remote areas; exports.
- Fundamental: without a customer nothing else in the firm is needed (Drucker: “marketing and innovation are the two basic functions”).

Importance in the digital era (81 Ba)

- Social media, search, e-commerce: reach millions at low cost.
- Data analytics: precise targeting, personalization.
- Measurable ROI; real-time campaigns.
- Two-way engagement, reviews, influencers build trust.
- Small firms and startups compete globally.
- Digital payments (eSewa, Khalti) enable online selling in Nepal.

Functions of marketing 4 5

PIN 3/29 81 Ba, 71 Shr, 71 Ch

Classical grouping (Adhikari)

- **Exchange:** buying, selling.
- **Physical distribution:** transport, storage / warehousing.
- **Facilitating:** standardization and grading, financing, risk bearing, market information.

Modern list (AJ Sir)

- Product / service management, pricing, promotion.
- Distribution (channel), selling, financing.
- Market information management, buying.
- Packaging, branding, after-sales service.

Advertising: definition, and why it is one of the best forms of marketing 1 3

PIN 3/29 78 Bh, 72 Ch, 70 Ch

- **Definition:** paid, non-personal communication of information about a product, service or idea through mass media (news-paper, TV, radio, online, billboards) by an identified sponsor, to create or maintain demand. From Latin *ad verto*, “to turn towards”.
- **Why the best form:**
 - Mass reach at low cost per contact; repetition builds memory.
 - Creates awareness and new demand; launches new products.
 - Builds brand image and goodwill; supports salesmen and dealers.
 - Informs and educates consumers; counters competition.
 - Digital ads are targeted and measurable.

Salesmanship; marketing vs purchasing; marketing software products in Nepal 4

PIN 3/29 76 Ash, 73 Shr, 68 Ch

Salesmanship is an important ingredient of marketing?

Agree (73 Shr)

- Personal selling persuades face to face, explains technical products, handles objections, **closes the sale**.
- Brings customer feedback to the firm; builds relationships.
- But it is **one ingredient**: product, price, place and research come first.

Marketing vs purchasing (68 Ch)

- Purchasing: **inputs**, firm is buyer, aims at low cost, deals with suppliers.
- Marketing: **outputs**, firm is seller, aims at revenue and satisfaction, deals with customers.

Challenges for marketing software in Nepal (76 Ash)

- Small domestic market; low willingness to pay for software.
- Piracy; free alternatives.
- Preference for foreign brands; trust deficit in local products.
- Low digital literacy and internet access outside cities.
- Limits on international payments; weak IP law enforcement.
- Skilled marketers scarce; brain drain.
- Response: freemium, local language, SaaS subscriptions, export markets, partnerships with banks and telecoms.

1.7 Topics Set Only by the 2065–2068 Papers

These came from the older ME708 syllabus and have not been set since 2068. Know one paragraph each. verified/added

Activities of production development 5

PIN 2/29 66 Bh, 65 Shr

- Idea generation (market, R&D, competitors).
- Screening; feasibility (technical, economic).
- Product design; prototype; testing.
- Pilot production; test marketing.
- Commercial launch; review.
- Supporting: standardization, simplification, specialization, value analysis.

Manufacturing methods; CIM 4 6

PIN 1/29 67 Asa · CIM short note

- **Job / project:** one-off to order (ships, dams).
- **Batch:** lots of similar items (medicine, garments).
- **Mass / flow:** standard products on lines (cars).

- **Continuous process:** round-the-clock flow (cement, refinery).
- **CIM:** whole plant computer-controlled: CAD, CAPP, CAM, CNC, robots, FMS, AGVs, shared database → flexibility, quality, short lead time; high cost.

1.8 PYQ Mapping

Theory questions, covered in this document

- **Define organization; need, importance, role in society; can we sustain without it** → §1.1. 16 papers; the rider on most 8-mark questions.
- **Organization as open / social system; system approach** → §1.1. 81 Bh 2, 79 Ba 2+2, 70 Ch 4
- **Role in employee's professional growth** → §1.1. 81 Bh 4, 75 Ch 4
- **Principles of organization** → §1.1. 9 papers, 4 to 8.
- **Formal vs informal; need for informal; informal organization in a family** → §1.1. 11 papers.
- **Historical development** 79 Bh 3; **characteristics / elements** 73 Ch 4, 68 Ch 4; **organizational behaviour** 68 Ch 4, 68 Ba 4, 67 Asa 4, 66 Bh 4 → §1.1.
- **Functions of management** (incl. "two principal functions", 79 Ba) → §1.2. 15 papers: the most asked list in the subject.
- **Levels, need for levels, functions at each level** → §1.2. 9 papers.
- **Managerial skills, degree per level, qualities of a manager** → §1.2. 10 papers.
- **Models of management** → §1.2. 81 Bh 4, 80 Bh 4, 76 Ash 4, 70 Ch 3+5
- **Roles of a manager** 76 Ash 4; **importance of management** 71 Shr 4, 70 Asa 3; **science or art** 78 Bh 3; **organization vs management** 79 Ba 2, 76 Ash 2, 71 Ch 2; **best theory today / for Nepal** 80 Ba 4, 74 Ash 8 → §1.2.
- **Scientific management** (principles, experiments, still applicable; vs management science; HR manager implementing it) → §1.3. 11 papers.
- **Fayol's administrative theory, 14 principles, applicability** → §1.3. 9 papers.
- **Behavioural approach; its advantages over scientific / modern; comparisons of the three approaches** → §1.3. 11 papers.
- **System and contingency approach** 82 Ba 8, 68 Ch 5, 67 Asa 7, 66 Bh 4; **MBO** 68 Ch 4 → §1.3.
- **Forms of ownership; changing form; CEO of a software company** → §1.4. 82 Ba 4, 74 Ch 4+4, 73 Shr 4+4, 71 Shr 4
- **Single ownership** 80 Bh 8, 71 Shr 4, 65 Shr 4; **partnership** 81 Bh 3, 74 Ash 3+5, 67 Asa 4 → §1.4.
- **Joint stock company** (features, formation in Nepal, merits, vs partnership, vs public corporation, private vs public) → §1.4. 10 papers.
- **Cooperatives** 82 Bh 5, 81 Bh 5, 79 Bh 8, 72 Ka 8; **public corporation** 81 Ba 4 → §1.4.
- **Organization structure** → §1.5, including short notes in 79 Bh, 75 Ch, 71 Shr.
- **Line** 76 Ch 4, 76 Ash 4, 71 Ch 4, 70 Asa 4; **functional** 82 Bh 3, 68 Ch 3, 68 Ba 4, 67 Asa 4; **line & staff** 82 Ba 4, 79 Bh 4, 74 Ch 4, 66 Bh 5; **committee** 79 Bh 4, 75 Ash 4, 74 Ch 4 → §1.5.
- **Matrix; structure for an engineering project** 73 Ch 8, 72 Ch 8, 68 Ba 5; **authority, responsibility, span, policy vs executive group** 68 Ch, 68 Ba, 67 Asa, 65 Shr → §1.5.
- **Purchasing, 5 R's, principles, functions** → §1.6. 10 papers.
- **Methods of purchasing; purchasing procedure** → §1.6. 6 papers.
- **Marketing: definition, concept, importance** → §1.6. 14 papers.
- **Functions of marketing; advertising; salesmanship; marketing vs purchasing; software marketing in Nepal** → §1.6.
- **Production development, manufacturing methods, CIM** → §1.7. 67 Asa, 66 Bh, 65 Shr

Short-note prompts from the Detailed PYQ's "Extra" section, placed here

- Scientific management, span of control, MBO 68 Ch; contingency management theory 66 Bh; marketing concept 68 Ba; partnership, functional organization, CIM 67 Asa; single ownership, informal organization 65 Shr; team effort model, managerial skills 81 Bh; organizational structure 79 Bh, 75 Ch, 71 Shr.
- Industrial relations, collective bargaining, job design, incentive programs and manpower planning go to Ch. 2; leadership style, contingency approach to leadership, satisfaction-progression vs frustration-regression and entrepreneurial characteristics go to Ch. 3.

Numerical content

- **This chapter has no numerical component:** no paper in 29 sets a calculation. The only formula here (Graicunas' span relationships) is there to strengthen a theory answer.

Corrections to the source notes

- Adhikari p17: WTO was founded in 1995 (not 1955); GATT was signed in 1947.

- Adhikari p105: a private company in Nepal may have up to 101 shareholders (Companies Act 2063), not 50; p106 says “maximum number of persons to form a company is seven”: seven is the **minimum** for a public company.
- Adhikari pp111–114: “public corporation” there is the US business corporation; the syllabus means a government statutory corporation.
- AJ Sir slide 50: cooperatives “at least 10 and no more than 100 members” is not Nepal law; the Cooperative Act 2074 sets a minimum of 30 for a primary cooperative.
- AJ Sir slide 31: Fayol was born in 1841.
- Syllabus file prints course code CT 710; every paper prints ME708.

Abbreviations, chips and month codes

Only these are ever shortened. Anything not on this list is written out in full.

Short	Means	Short	Means
JSC	joint stock company	MNC	multinational company
HR, HRM	human resource (management)	OB	organizational behaviour
MBO	management by objectives	CEO, MD	chief executive officer, managing director
AGM	annual general meeting	ESOP	employee share ownership plan
MoA, AoA	memorandum / articles of association	OCR	Office of the Company Registrar
SEBON	Securities Board of Nepal	NEPSE	Nepal Stock Exchange
IPO	initial public offering	PAN, VAT	permanent account no., value added tax
NEA	Nepal Electricity Authority	NOC	Nepal Oil Corporation
QC	quality control	R&D	research and development
OR	operations research	ROI	return on investment
CIM	computer integrated manufacturing	FMS	flexible manufacturing system
CAD, CAM	computer aided design / manufacturing	CAPP	computer aided process planning
CNC	computer numerical control	AGV	automated guided vehicle
MIS	management information system	IT	information technology
SaaS	software as a service	BPO	business process outsourcing
CSR	corporate social responsibility	POSDCoRB	plan, organize, staff, direct, coordinate, report, budget

Short	Means	Short	Means
no.	number	info	information
vs, Vs	versus	Eg	example / for example
+Fig	draw a figure	(I)	importance / need / significance
→	leads to / therefore	+	and
=	is / equals	min, max	minimum, maximum
Ch.	chapter	§	section

Chip	Means (29 papers, 2065–2082 BS)
TOP n/29	asked in 8 or more papers
HOT n/29	asked in 4 to 7 papers
PIN n/29	asked in 1 to 3 papers, inside an 8-mark question
LOW n/29	asked in 1 to 3 papers, as a 4-mark short note only
syllabus, no PYQ yet	in the syllabus, never examined
4+4	marks as printed; several chips = the question recurred at different marks
verified/added	researched and added beyond the lecture notes
80 Bh	bold year = Regular exam; plain = Back exam

Months: Ba = Baishakh, Jth = Jestha, Asa = Ashad, Shr = Shrawan, Bh = Bhadra, Ash = Ashwin, Ka = Kartik, Mng = Mangsir, Po = Poush, Ma = Magh, Ch = Chaitra. **Ash and Asa are different months.** Sources: AJ Sir = AJ Sir's lecture decks; Adhikari = Bikash Adhikari, *Organization and Management* slide notes; Joshi = S.K. Joshi, *Organization and Management*, A.K. Books.